Yet none of these things exists outside the stories that people invent and tell one another. There are no gods in the universe, no nations, no money, no human rights, no laws, and no justice outside the common imagination of human beings.

People easily acknowledge that ‘primitive tribes’ cement their social order by believing in ghosts and spirits, and gathering each full moon to dance together around the campfire. What we fail to appreciate is that our modern institutions function on exactly the same basis. Take for example the world of business corporations. Modern business-people and lawyers are, in fact, powerful sorcerers. The principal difference between them and tribal shamans is that modern lawyers tell far stranger tales. The legend of Peugeot affords us a good example.

An icon that somewhat resembles the Stadel lion-man appears today on cars, trucks and motorcycles from Paris to Sydney. It’s the hood ornament that adorns vehicles made by Peugeot, one of the oldest and largest of Europe’s carmakers. Peugeot began as a small family business in the village of Valentigney, just 200 miles from the Stadel Cave. Today the company employs about 200,000 people worldwide, most of whom are complete strangers to each other. These strangers cooperate so effectively that in 2008 Peugeot produced more than 1.5 million automobiles, earning revenues of about 55 billion euros.

In what sense can we say that Peugeot SA (the company’s official name) exists? There are many Peugeot vehicles, but these are obviously not the company. Even if every Peugeot in the world were simultaneously junked and sold for scrap metal, Peugeot SA would not disappear. It would continue to manufacture new cars and issue its annual report. The company owns factories, machinery and showrooms, and employs mechanics, accountants and secretaries, but all these together do not comprise Peugeot. A disaster might kill every single one of Peugeot’s employees, and go on to destroy all of its assembly lines and executive offices. Even then, the company could borrow money, hire new employees, build new factories and buy new machinery. Peugeot has managers and shareholders, but neither do they constitute the company. All the managers could be dismissed and all its shares sold, but the company itself would remain intact.